Economic freedom and firm entry–exit decisions

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Topic-stage progress document. This is not the final paper. The current four-page proposal is in `proposal/proposal.pdf`. The final paper will require an 8–20-page body, complete proofs, simulations, and appendices.

Question and current model

Can costly rebuilding make output losses after institutional deterioration larger and more persistent than gains after improvement? The firm optimizes variable input and activity under known temporary changes in usable property. The baseline allows free restarting; the extension imposes a sunk restart cost.

Current result and its status

The proposal states all maintained assumptions and the sufficient conditions $\pi_0 > 0$, $\pi_- + \beta V < 0$, and $\kappa > V$, where $V = \pi_0/(1-\beta)$. Under these conditions the adverse incumbent closes and never restarts, while the unchanged and favorable incumbents remain active. The current proof is an outline, supported by numerical and symbolic checks. Lean formalization and the handwritten appendix remain future work.

Remaining work

I will complete the switching-path proof and handwritten derivations, study suspension, entry, and heterogeneity, map the parameter region, and formalize each numbered result using AppliedModelingLib. I will also clarify the scope of aggregation and extend the literature review. Cheap suspension may eliminate the persistent loss.

Final-paper structure

Introduction; related literature; numbered model assumptions; propositions and proofs; reproducible simulations; limitations; conclusion; proof, Lean, and AI-log appendices.

The bibliography file records the current project sources.